

Indian Railway Finance Corporation Ltd

IRFC | Latest fiscal period 2024-03

48.7

HEALTH · Weak

ROE

13.0%

ROCE

5.7%

OPM

99.5%

DEBT / EQUITY

8.4x

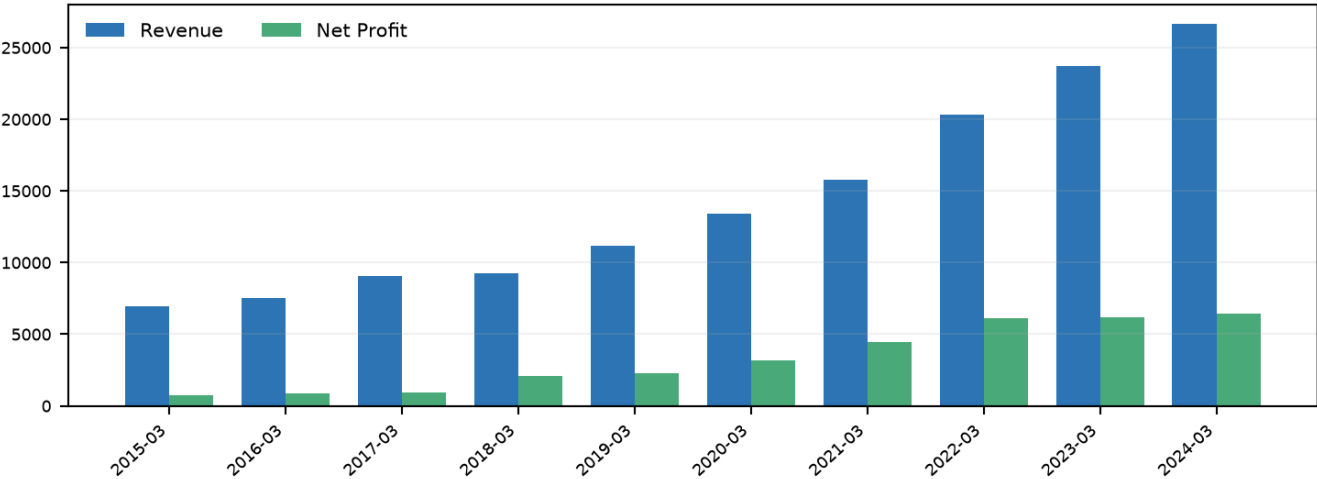
REVENUE CAGR 5Y

19.1%

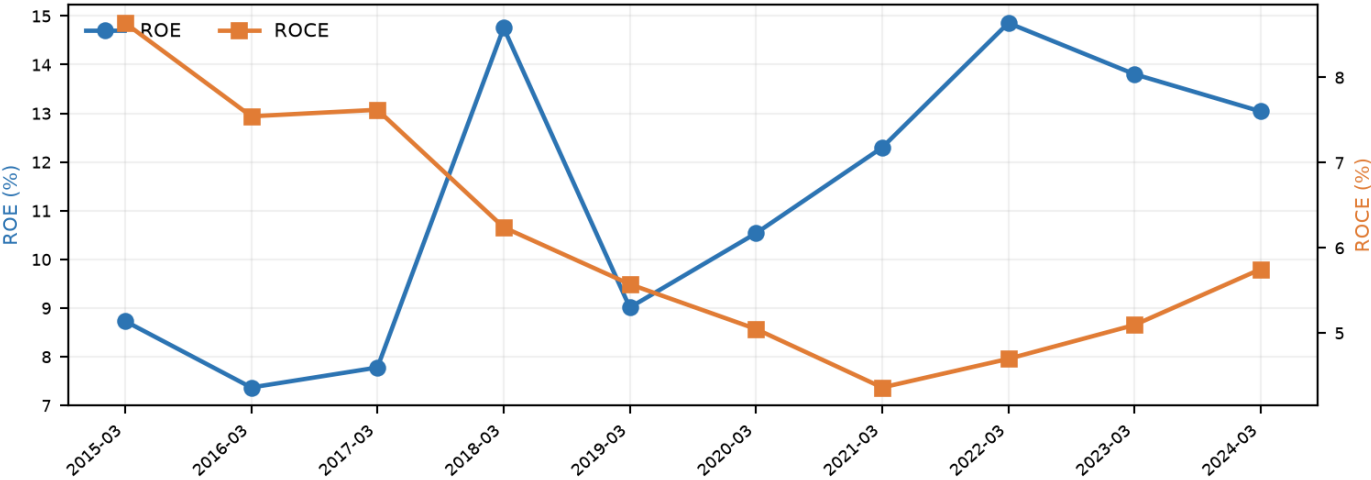
P/E

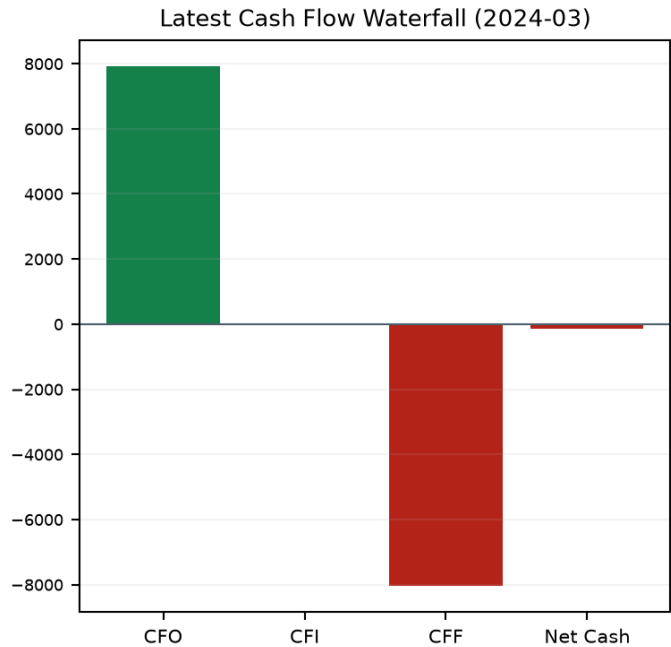
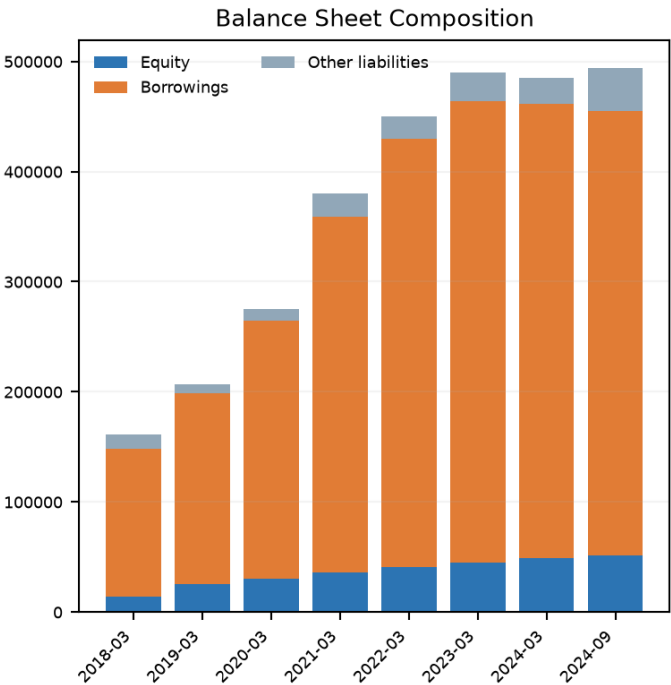
9.8x

10-Year Revenue and Net Profit (INR Crore)



ROE and ROCE Trend





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION · SELF FUNDED REINVESTMENT